Financial Statement Analysis

Income Statement: Revenue grew from ₹60,580 Cr (2023) to ₹63,121 Cr (2025) that's an year on year +2.17% growth(2024) then +1.98%(2025)

Total expenses rose 5% due to other expenses (₹14,615 Cr in 2025) Other expenses is disclosed in Note 35 major items being Advertising and promotion 6,199cr distribution 2,068cr auditor fees, legal, etc 2,155cr

PAT stable at ₹10,671 Cr (2025) vs ₹10,143 Cr (2023) due to volume stability, pricing adjustments, supply-chain efficiencies and net exceptional gain ₹422 Cr also mentioned in note 35

Balance Sheet: Total Assets went up from ₹73,087 Cr to ₹79,880 Cr (+9.3%) driven by Goodwill (₹17,466 Cr stable) and Other Intangibles (₹28,244 Cr)

Current Assets went up to ₹22,051 Cr (cash ₹6,071 Cr)

Cash Flow: Cash from operations strong (+₹9,991 Cr to +₹15,469 Cr to +₹11,886 Cr)

Cash from investing flipped to +₹6,473 Cr in 2025(term deposit redemption ₹7,774 Cr + brand sale ₹595 Cr)

Cash from financing negative due to dividends ₹12,473 Cr. Indicates mature cash return focus

DuPont Analysis

Year	NPM	Asset Turnover	Equity Multiplier	ROE	Driver
2025	16.91%	0.797	1.610	21.12%	Margin + Leverage
2024	16.61%	0.817	1.526	20.17%	Margin improvement
2023	16.74%	0.829	1.447	20.08%	Balanced

ROE rise driven by profitability with slight leverage increase ,asset utilisation stable but low focus needed on turnover

Competitor Benchmarking

Ratio	HUL (2025)	ITC	Godrej	HUL Position
Net Profit Margin	16.91%	~27–43%	12–15%	Strong
ROE	21.12%	27.58%	~15%	Competitive
Debt-to-Equity	0.610	0.01	0.25–0.32	Higher but safe
Current Ratio	1.333	3.06	1.06–1.20	Lower but adequate
Sales Growth	1.98%	~10%	~5–8%	Weakest

HUL is and overall leader in FMCG profitability but has lower liquidity than ITC

SWOT Analysis

Strengths

• Very Strong margins (16.91%) & CFO ₹11,886 Cr most peers operate in the 8–12% where as HUL has 16.91% net margin is exceptional for FMCG this reflects strong brand pricing power, efficient manufacturing meaning the company can self-fund capex, dividends, and acquisitions without diluting shareholders or leveraging up

• Stable intangibles (₹28,244 Cr) & low debt

• Consistent ROE >20% again signals the brand portfolio commands genuine pricing power

Weaknesses

• Low sales growth (1.98%) & Asset Turnover 0.797 Revenue growing at barely 2% in a nominal GDP environment of 7–8% means the company is losing real economic ground suggesting asset deployment is outpacing top-line growth

• CFI flip signals asset harvesting The firm is extracting value from existing assets rather than reinvesting aggressively for future growth

Opportunities

• E-commerce & premiumisation (FMCG trend) D to C digital channels allow premium SKUs to bypass distribution constraints and reach aspirational consumers in Tier-2/3 cities who are upgrading spending also Quick commerce (Blinkit, Zepto, Swiggy Instamart) is creating impulse purchase channels where strong brands have disproportionate advantage

• New brand launches to reset life cycle

Threats

• Intense competition (ITC/Godrej) ITC's FMCG business is on an aggressive growth trajectory good distribution with tobacco cash flow Godrej Consumer Products are in categories like home care and hair colour both the competitors are willing to compete on every level

• Inevitable Decline as per Dickinson unless reset

Dickinson's (2011) Cash Flow Model to Hindustan Unilever

The model takes these from the statements of cash flow CFO = Cash Flow from Operations, CFI = Cash Flow from Investing, CFF = Cash Flow from Financing and assign signs as positive If above zero or negative if below zero

Pattern (CFO, CFI, CFF)	Stage	Exact Meaning
– – +	Introduction	Cash burn + heavy investment funded by external capital
+ – +	Growth	Positive ops + reinvesting + still raising funds
+ – –	Maturity	Positive ops + reinvesting + returning cash to owners (dividends/debt repay)
+ + +	Shake-out	Transitional (all positive)
+ + –	Shake-out	Transitional (ops & inv positive, financing out) ← HUL 2025
– – –	Shake-out	Transitional (all negative)
– + –	Decline	Negative ops + selling assets + reducing financing
– + +	Decline	Negative ops + selling assets + still raising funds

use the stage for health, calculate 8 key ratios (Current, Quick, D/E, Net Margin, ROE, Sales Growth, Asset Turnover, Inventory Turnover) Compare to benchmarks then rate health (Very Strong / Strong / Weak)

Inevitability rule the model says every firm follows Introduction → Growth → Maturity → Shakeout → Decline (100% progression unless innovation resets to Growth). No firm stays in Maturity forever

Applying Dickinson's Cash Flow Model (2011) to HUL's exact cash flow data (from 2023–2025). Results show HUL in Maturity stage (2023 & 2024: +CFO, –CFI, –CFF) transitioning to Shakeout in 2025 (+CFO, +CFI, –CFF)

Year	CFO	Sign	CFI	Sign	CFF	Sign	Stage
2025	11,886	+	+6,473	+	–13,101	–	Shake-out
2024	15,469	+	–5,324	–	–10,034	–	Maturity
2023	9,991	+	–1,494	–	–8,953	–	Maturity

Net Profit Margin 16.91%

ROE 21.12% Current Ratio 1.333 Debt-to-Equity 0.610

All meeting or exceeding FMCG benchmarks the company is positioned as a late-maturity FMCG leader with stable cash generation (₹11,886 Cr) funding high dividends, but low sales growth (1.98%) signals competitive pressure. Per Dickinson's (2011) model, progression to Decline is inevitable within 3–5 years unless reset by innovation, as 100% of firms follow this path without adaptation.